Green Bond Framework

MAY 2022

Last update: May 2022

Banco Guayaquil

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DISCLAIMER: To avoid any doubts, the Spanish version of this Green Bond Framework is the official version of the document. This translation is provided for general reference only.

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I. Introduction

About Banco Guayaquil

Banco Guayaquil is a Multiple Banking financial institution in Ecuador, with more than 98 years of experience in the market and the largest national coverage, with presence in all provinces of the country. According to the Statistical Portal of the Superintendency of Banks[1], as of December 2021, Banco Guayaquil was positioned as the third largest bank in Ecuador in terms of assets, with a market share of 12.14% with respect to private banks. By 2022, the Bank will reach three million active customers in the Bank, supported by an extensive network of banking services that includes 1,114 ATMs, 205 bank offices and 12,858 Neighborhood Banks by the end of 2021.

The economic environment has been affected even at the international level as a result of various events, the most impactful being the health crisis caused by the COVID-19 virus, however, Banco Guayaquil stood out as the bank with the highest growth in loan portfolio during 2020 and 2021, with an increase of US$ 754 million in 2021 over the previous year, thus obtaining a balance at the end of the period of US$ 4,608 million, representing an increase of 20%, while the financial system grew by 14%. This represents a market share of 12.68% in this category, moving up to second place in the ranking.

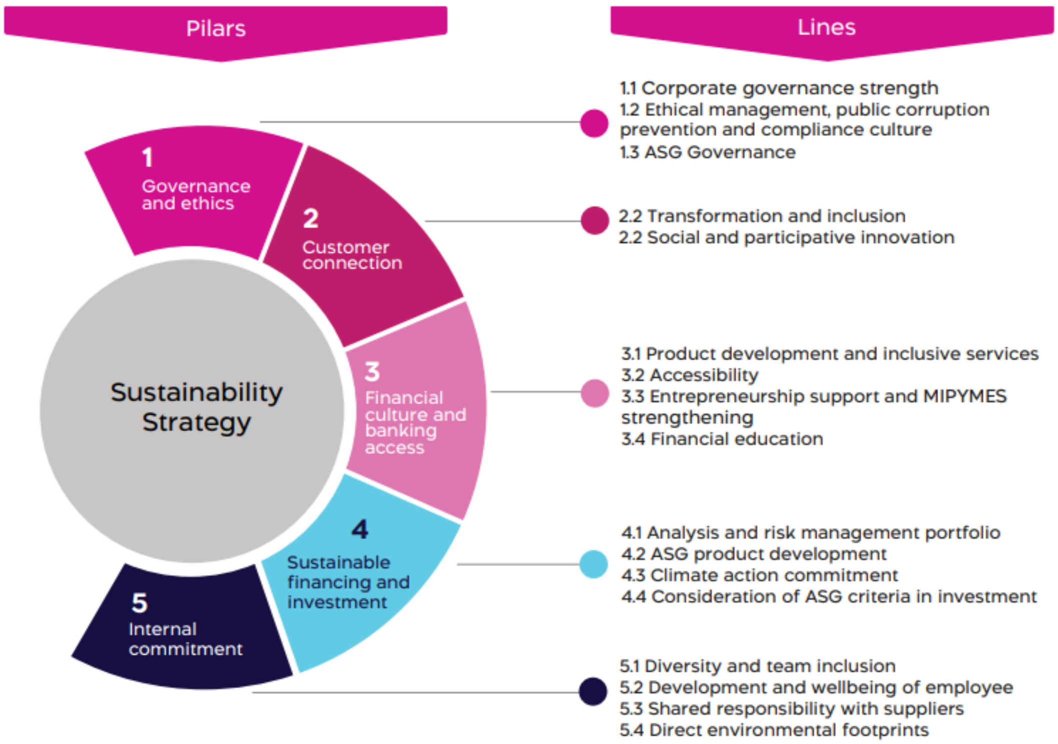
Banco Guayaquil's business strategy revolves around the "You First" approach ("Primero tú"), a new way of banking that puts the client at the center. Thanks to the multiple actions carried out, in 2021 Banco Guayaquil came closer to the strategy of its Centennial Project ("Proyecto Centenario"), to be the second largest bank in the country, achieving solid indicators of liquidity (37.25%), delinquency (1.12%, compared to 2.14% of the financial system) and profitability (ROE of 14.09%), consolidating itself as a more innovative Bank closer to the client.

[1] Super Intendencia de Bancos (2021). Portal Estadístico, Balances Generales - Balance del Sistema Financiero por Tipo de Institución. Obtained from: https://estadisticas.superbancos.gob.ec/portalestadistico/portalestudios/?page_id=322

The Bank´s Strategic Approach to Sustainability

Sustainability is crucial to Banco Guayaquil´s business strategy[2]. In 2020, the Bank launched a new Sustainability Strategy with five pillars, each one including different lines to work. These priorities respond to critical and emerging issues from the materiality analysis. Figure 1, as follows, shows these priorities.

Figure 1: Pillars and lines of Banco Guayaquil's Sustainability Strategy



This strategy integrates the importance for the Bank of developing a Responsible Banking model, promoting financing options that actively contribute to socio-environmental improvement and economic development in a more sustainable way, especially through three of its five pillars: 1) Governance and ethics, 2) Financial Culture and banking access, 3) Sustainable financing and investment. It is also worth mentioning Banco Guayaquil's leadership in adhering to the Principles of Responsible Banking, developed by the United Nations Environment Program Finance Initiative (UNEP FI) and the financial sector.

As part of its commitment to sustainability through its operations, Banco Guayaquil supports and is part of the main networks working for sustainability in the country as signatory of the Global Compact (Red Ecuador) and the Ecuadorian Consortium for Social Responsibility and

[2] More information about Banco Guayaquil and its sustainability actions is available on the specific site of its website.

Sustainability (CERES). Likewise, the Bank contributes to promoting sustainable finance in the region by actively participating in the Association of Banks of Ecuador (Asobanca), in the Latin American Banking Federation (FELABAN), as well as in the working groups of UNEP FI.

Objective

Banco Guayaquil aims to continue advancing in its sustainability strategy, including the promotion of good environmental practices among its customers through credit.

In this sense, the projects financed with the proceeds of this bond will be for "green"[3] purposes and will aligned with the Bank's strategy and the United Nations Sustainable Development Goals (SDGs). To support the integrity of this bond and the projects financed through it, this Green Bond Framework aligned with the International Capital Market Association (ICMA) Green Bond Principles (GBP), updated in 2021, which include: Use of Proceeds; Process for Project Evaluation and Selection; Management of Proceeds; and Reporting.

It is the intention of Banco Guayaquil to follow best practices in the marketplace as standards, taxonomies and other policies continue to be developed in relation to the issuance of green bonds, so this Green Bond Framework may be modified or updated to reflect changes in market practice over the life of the bond.

Moody's ESG Solutions, a business unit of Moody's Corporation and an independent provider of ESG (environmental, social and governance) services globally, has provided a second party opinion on this framework, which can be found in Annex 3 of this document. Moody's opinion is intended to provide an assessment of the alignment of Banco Guayaquil's Green Bond Framework with the transparency and disclosure requirements of the Green Bond Principles, as well as to assess Banco Guayaquil's overall sustainability performance and its alignment with the framework. Both documents will be publicly available through Banco Guayaquil website[4].

[3] Projects that meet the objective of "achieving a demonstrable environmental benefit" and which are aligned with the criteria established for the use of funds in this Green Bond Framework, in accordance with the ICMA Green Bond Principles, will be considered "green".
[4] Banco Guayaquil website: https://www.bancoguayaquil.com

II. Green Bonds Principles

I. First Principle – Use of Proceeds

The proceeds from the issuance of Banco Guayaquil's green bond will be used exclusively to finance or refinance, in whole or in part, "Eligible Green Assets" in three ways:

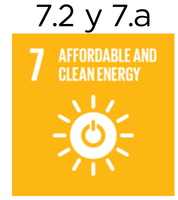
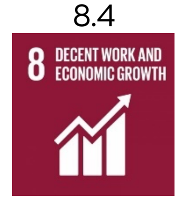
1. Finance the acquisition, development and construction of new Eligible Green Assets;
2. Finance the renovation, modernization and improvement of existing Eligible Green Assets and/or;
3. Refinance Eligible Green Assets. Defined as the financing of assets placed into operation more than one year prior to the time of approval by the Credit Committee (see Section II).

Eligible Green Assets refer to loans and/or investments made by Banco Guayaquil for assets or projects that:

a) Organizations located in Ecuador;
b) Promote the transition to a low-carbon and more sustainable economy, promoting climate resilience;
c) Contribute to and align with the Sustainable Development Goals;
d) Assets aligned with the Bank sustainability strategy, with at least one of the five broad environmental objectives of the Green Bond Principles: (i) climate change mitigation; (ii) climate change adaptation; (iii) natural resource conservation; (iv) biodiversity conservation; and (v) pollution prevention and control; and
e) Meet the Bank's Green Bond Eligibility Criteria defined below (Table 1):

Table 1: Banco Guayaquil Green Bond Eligibility Criteria

GBP Eligible Green Assets Category	Banco Guayaquil Eligibility Criteria	SDGs goals and targets
Energy Efficiency	A) Industrial energy efficiency projects, such as process optimization, implementation of improvements and systems, replacement of equipment, etc., that reduce energy consumption in industrial production processes. B) Commercial and residential energy efficiency projects, such as the implementation of actions, systems, technologies, equipment, improvements, among other activities to improve or maintain an efficient energy use.	7.3, 7.a 8.4

	Examples: - Installation of electronic systems for the control and/or reduction of energy use in buildings. - Expenditures on upgrades to heating, ventilation, air conditioning, lighting (replacement to LED lights), motion detector systems, skylights, building envelopes (insulation, cool roofing, air sealing, etc.), etc. - Replacement, production, or purchase of machinery/equipment with Energy Star seals[5], rating A, AA, A+ (Ecuador), Energy System or Inverter. Exclusions: - Projects involving fossil fuels. - Projects whose improvements in energy efficiency are less than 20% (without increasing production capacity).	9.4 
Renewable Energy 	A) Projects for electric energy from renewable sources that displace the use of fossil fuels, through the acquisition, development, operation, and maintenance of new and ongoing renewable energy activities. Examples: - Wind energy: wind turbines, wind farms, etc. - Photovoltaic Solar Energy: installation of photovoltaic systems, solar farms, etc. - Concentrated Solar Energy. - Hydroelectric power: hydroelectric plants with a capacity of less than 10MW and that meet the Mitigation requirements approved by the Climate Bonds Initiative: - For hydroelectric installations in operation before 2020: that have a power density > $5W/m^2$; or generate GHG emissions < 100g CO_2e/kWh.	3.9  7.2 y 7.a  8.4 

[5] Energy Star is the U.S. Environmental Protection Agency's (EPA) international program created in 1992 to promote electricity-efficient electrical products to reduce greenhouse gas emissions from power plants.

	○ For hydroelectric installations in operation during or after 2020: that have a power density > 10W/m^2; or generate GHG emissions < 50g CO_2e/kWh. • Geothermal energy[6]: development, construction, and operation of geothermal power generation facilities; geothermal projects with mitigation technologies that will make emissions of non-condensable gases to the atmosphere negligible; geothermal projects reviewed and registered under the Clean Development Mechanism[7]. • Development, construction, installation, and maintenance of biomass facilities that avoid negative impacts on biodiversity, ecosystems, and High Conservation Value areas (that do not compete with food production, deplete existing terrestrial resources and carbon stocks or other areas of high biodiversity). • Cogeneration energy, using 100% renewable energy. Exclusions: • Generation projects based on fossil fuels. • Nuclear energy projects. • Geothermal energy and cogeneration projects with direct emissions above 100g CO_2/kWh. • Biomass projects not from agroforestry residues and/or sustainable sources ([EU taxonomy, Annex IX, part A](#)). • Hydroelectric projects with a capacity greater than 10MW.	12.4
Sustainable management of		

[6] These examples mentioned above, are the criteria that the Climate Bonds Initiative (CBI) considers as eligible for geothermal energy projects, as they align with the 2 °C limit of the Paris Agreement. To develop its geothermal energy standard, CBI has conducted extensive research in this area and has determined 100 gCO_2/kWh as the first threshold in its decision tree for certification. More information at CBI: https://www.climatebonds.net/standard/geothermal

[7] The Clean Development Mechanism (CDM) allows a country with an emission reduction or limitation commitment under the Kyoto Protocol to implement an emission reduction project in developing countries. The mechanism encourages sustainable development and emission reductions, while providing industrialized countries with some flexibility in the way they meet their emission reduction or limitation targets. https://unfccc.int/process-and-meetings/the-kyoto-protocol/mechanisms-under-the-kyoto-protocol/the-clean-development-mechanism

living natural resources 	A) Environmentally sustainable agriculture and forestry projects; climate-smart agricultural inputs, such as biological crop protection or drip irrigation; environmentally sustainable fisheries and aquaculture; sustainable forestry; and conservation or restoration of natural landscapes. Examples: • Afforestation or reforestation of degraded areas (with increased GHG sequestration) or sustainable management of planted forests. • Precision agriculture; purchase of machinery, technological change and more efficient and/or low-carbon agriculture projects; drip, micro-sprinkler, or more efficient irrigation systems; use of organic fertilizers. • Projects/producers with international environmental and social certifications included in Annex 5. Exclusions: • Livestock projects.	12.2 12 RESPONSIBLE CONSUMPTION AND PRODUCTION 15.a 15 LIFE ON LAND
Green Buildings 	A) Infrastructure, development and urban housing projects with design and construction measures certified through one of the LEED[8] (Gold or Platinum), BREEAM[9] (Very Good) or EDGE seals, or a measure that directly contributes to obtaining these certifications. Where no certification standard is available, the impacts of the actions taken requires to be documented with reports from a third party to demonstrate how construction activities have implanted actions to avoid the construction on protected areas, improve access to public transport, and the negative impacts were identified and avoided to improve the use of resources. B) Major renovations and/or improvements that lead to a reduction in fossil fuel	11.c 11 SUSTAINABLE CITIES AND COMMUNITIES 12.2 12 RESPONSIBLE CONSUMPTION AND PRODUCTION

[8] LEED, a green building rating system: http://www.usgbc.org/certification

[9] BREEAM, a recognized sustainability assessment method for master planning, infrastructure and building projects: http://www.breeam.org/

	energy use, emissions, water use and waste by at least 30%. Examples: • New buildings or improvements to existing buildings that improve air quality, use materials with a lower environmental footprint, allow soil remediation or regeneration, and/or allow better transportation connectivity, achieving a minimum level of efficiency as indicated in subsection B or obtaining any of the certifications mentioned in subsection A.	

Funds will be assigned in accordance with the requirements of the Criteria for the Use of Proceeds as specified above. Proceeds may be used for capital expenditures (CAPEX) as well as operating expenses (OPEX).

Other exclusion criteria:
Banco Guayaquil considers the following exclusion criteria for the use of its Green Bond Funds in any of the eligible categories listed above:

- Project or clients that do not comply with applicable national environmental and social regulations.
- Projects or clients considered environmentally and socially as Category A, under IFC standards. Category A projects are those that could result in potentially significant environmental and social risks or impacts that are diverse, irreversible, or unprecedented and that may exceed the boundaries of the project site or facility.
- Fossil fuel projects, including refined or alternative coal technologies; gas-to-liquid projects; and natural gas projects.
- Projects, technologies, or clients that meet one or more environmental objectives, but at the same time significantly harm other environmental objectives.
- Projects or clients in high-risk sectors and/or on the exclusion list (Annex 1).
- Projects or clients involved in social and environmental controversies due to negative impacts.
- Consumer loans.
- Loans originated 18 months prior to the issuance of the bond.

Banco Guayaquil may consider future opportunities to update this Green Bond Framework and expand the categories of Eligible Green Assets subject to an external evaluation.

II. Second Principle – Process for Project Evaluation and Selection

The Eligible Project Evaluation and Selection Process aims to ensure that funds from this Green Bond are allocated to projects and assets that meet the criteria specified in Section I of the Framework. The process establishes and explains the internal procedures for the evaluation, selection, approval and registration of green assets that are eligible for inclusion in the green asset portfolio.

Corporate Governance Structure

To ensure that the allocations are made to the Eligible Assets as specified above, the Comprehensive Risk, Corporate Governance and Sustainability, Treasury and Business Banking areas are involved in the process. Together, they make up a Sustainable Finance Working Group, responsible for[10]:

- Ensure that the portfolio of Eligible Assets is aligned with the eligibility categories and criteria specified in Section I (Use of Funds);
- Monitor the Registry of Green Assets and notify the Credit Committee when it is necessary to replace investments that no longer meet the eligibility criteria (eg, after divestment, liquidation, concerns about the alignment of the underlying activity with the eligibility criteria, etc.);
- Identify and manage potential ESG controversies;
- Review and update the content of the Green Bond Framework to the extent possible and manage any future updates to this document to reflect relevant changes in corporate strategy, technology and monitor regulatory developments with respect to sustainability; and
- Document and keep track of decisions, meetings, updates to the framework, etc. to facilitate external verification.

On the other hand, the Credit Committee is the decision-making body for financing deliveries, including those of the bond itself, and will be responsible for:

- Review the recommendation proposals of the Green Projects to be included in the Registry of Green Assets under the scope of the Green Bond to ratify that they meet the requirements for their registration and make the final approval decision;
- Be in communication with the Sustainable Finance Working Group for the allocation of funds and any modification to the Registry of Green Assets; and
- Approve updates to this Green Bond Framework.

[10] Annex 4 Banco Guayaquil's Corporate Governance Structure.

Process description

The process of evaluating applications to finance new project includes the following stages:

a. Knowledge and evaluation of the client: The commercial officer of the account, is responsible for searching or identifying existing operations in the portfolio, as well as new projects that can go through the screening and evaluation process and initiate the requirement.

   - New clients: must first go through the regular evaluation process to be prospected. At this point, they are asked to share specific information[11] and their payment capacity and character, as well as their credit profile, are evaluated. Once the information is completed, it is forwarded to the Risk department for evaluation, which involves the application of an Internal Rating methodology, complemented by the opinion of a Credit Analyst and, in cases with risk above $250,000, the categorization by Environmental Risk and, if applicable, the management of the due diligence requiring pertinent information for it.
   - Clients in the portfolio: since these clients or projects have already gone through the previous process of prospecting and information gathering, they can go directly to the evaluation stage. Only assets approved in the regular credit process are eligible for green financing; qualification for green criteria does not cancel credit risks.

b. Evaluation: The commercial officer shares the requirement to the Integrated Risk department to perform a sustainability risk assessment[12]. With this information, the proposed assets are assessed for compliance with the eligibility criteria described in Section I, including an assessment of potential lock-in and rebound effects, whereby projects only qualify if there is a high probability of long-term positive environmental effects if it fits the bond interests and if the environmental benefit criteria are clear.

c. Approval of the loan: A recommendation proposal is sent to be presented to the Credit Committee, where it is ratified that the project is an Eligible Green Asset, and the final approval decision is made. Subsequently,

[11] The minimum documentation requested is Client's basic information form; Financial Statements for the last 3 fiscal years; Cash Flow projected for the term of the loan, with an explanation of the assumptions used; Balance Sheet for the last quarter in progress; detail of the characteristics of the project to be financed that accredit it as an eligible destination for the bond.

[12] Sustainability risk assessment implies that all the credits to be financed under this Framework will be subject to evaluation under Banco Guayaquil's Environmental and Social Risk Management System (ESRMS), which includes in its initial process the validation of whether or not the client's activity is included in the Exclusion List, then according to the activity, it proceeds to its Environmental Risk Categorization which determines the type of Due Diligence to be performed, which covers aspects such as compliance with international and national standards, intrinsic aspects of the client's activity from the perspective of environmental, labor and social aspects, characteristics of the client's location, determination of findings and recommendations for future follow-up and monitoring.

communicated to the Treasury department, which leads the allocation of resources. Senior Management plays an active role through its participation in the Credit Committee, which is the decision-making entity for the delivery of financing, including the bond itself.

d. Eligible Green Assets Register: Upon approval, Eligible Green Assets will be entered into the Green Assets Register, with a special product code for the purpose so that it is identified with the other bank products. The registration will be monitored during the life of the bond and will serve for the collation and reporting on the use of proceeds, as well as to track proceeds and ensure that Green Bond proceeds are sufficiently allocated to Eligible Green Assets on a regular basis.

e. Verification of the Registry of Green Assets: After the selection and registration of the projects, the Sustainable Finance Working Group of Banco Guayaquil will share this documentation with the bank's general auditor for verification, so that the new projects added to the list are validated. Registry of Green Assets meet the eligibility criteria, as well as validating that the projects that are already in the Registry of Green Assets continue to meet the eligibility criteria. This verification will allow the Sustainable Finance Working Group to monitor projects and report transparently. Likewise, the Sustainable Finance Working Group will monitor potential ESG controversies associated with projects registered in the Green Asset Registry. This information will be included in the Green Bond Report, detailing the frequency and content of the potential controversies identified (Section IV).

III. Third Principle – Management of Proceeds

An amount equal to the net proceeds of this Green Bond will be allocated to new projects and/or the refinancing of existing projects identified as eligible as set forth in Section I (Use of Proceeds)[13].

For the Management of Proceeds, Banco Guayaquil has established a Green Assets Register, monitored on a quarterly basis by the Bank's Treasury department, in order to guarantee:

i. The correct allocation of Green Bond proceeds to Eligible Green Assets, as well as avoiding that the allocation is made to projects that are already part of other Green Bonds during the term of the specific bond;
ii. That the proceeds will not be used as a source for financing in other transactions;

[13] Any subsequent changes made to this Framework will not apply to bond issues that have already been issued. If the eligibility criteria are adjusted, these new criteria will not be applied retroactively to existing eligible project credits. Therefore, existing eligible project credits shall not comply with the new criteria and new credits shall comply with the most recent version of the Framework.

iii. That while proceeds that have not been allocated to finance eligible green projects will be held in the Bank's treasury exclusively in cash or other highly liquid, low-risk instruments, at its discretion, and in any case will not be used to finance projects other than green projects;
iv. That unallocated funds will also follow the exclusion list and will be managed under responsible investment guidelines.

In the event of divestment, if an asset does not ensure continued compliance with the eligibility criteria, or if a loan is repaid early, Banco Guayaquil undertakes to replace the asset with another, respecting the eligibility criteria within 12 months.

IV. Fourth Principle – Reporting

Banco Guayaquil commits to publish a Green Bond Report for investor access and other interested parties on the Bank's website https://www.bancoguayaquil.com/conocenos/inversionistas within one year of issuance and renew it annually until Bond maturity and in case of material changes.

Banco Guayaquil will be work in the alignment with the environmental impact measurement principles and guidelines of the ICMA Green Bond Principles Impact Measurement Guidelines[14], in accordance with the eligible categories defined in this Green Bond Framework. Environmental impact management and measurement metrics mentioned in Annex 2 of this document. The Bank will seek to measure as many indicators as possible, in accordance with the implementation of the selected projects.

The Green Bond Report shall include, but not limited to, the following information:

a) The allocation of proceeds by category as specified in Section I - Use of Proceeds, indicating the total amount of assets in the Green Bond Asset Portfolio and the amount of net proceeds allocated, as well as the total amount pending to be allocated;
b) The proportion of financing and/or refinancing, and co-financing if relevant;
c) Details of the assets within the Green Bond Asset Portfolio, such as:
    - Type of technology
    - Location
    - Operational status (operating or under construction)
    - Green standards or certifications referenced in project selection
    - Brief Project descriptions

[14] ICMA *Handbook Harmonized Framework for Impact Reporting*, updated as of June 2021, is a reference that describes the main principles and recommendations for issuers to develop their own reports. It is available at: https://www.icmagroup.org/assets/documents/Sustainable-finance/2021-updates/Handbook-Harmonised-Framework-for-Impact-Reporting-June-2021-100621.pdf

d) The environmental impacts of the Green Bond Asset Portfolio in accordance with the metrics assigned per asset;
e) Information on potential ESG controversies identified by project, providing details on frequency and content;
f) Information on any material developments, issues and ESG controversies related to the projects financed by this green bond.

Information regarding borrowers, their businesses, and projects, will be subject to permitted disclosure in accordance with the relevant confidentiality agreements. If necessary, asset data may be anonymized.

Second Party Opinion

Banco Guayaquil has the favorable opinion of Moody's ESG Solutions, through its Second Party Opinion (available for consultation in Annex 3 of this document), to demonstrate the transparency and soundness of this Green Bond Framework in compliance with the ICMA Green Bond Principles[15]. 2021, as well as Best Practices identified by Moody's ESG Solutions.

In addition, an annual verification will be carried out by an independent external party, prior to the presentation of the Green Bond Report to provide a limited guarantee on the conformity of the allocation of income with the Green Bond Framework of Banco Guayaquil. These reports will be publicly available through the Banco Guayaquil website[16].

Verification

Following the recommendations of the Green Bond Principles, Banco Guayaquil will appoint an external auditor to verify the internal monitoring and the allocation of Green Bond funds to eligible Green Projects, including in this review the impact metrics, as well as the monitoring indicators. for monitoring the use of funds.

[15] ICMA Website: https://www.icmagroup.org/
[16] Banco Guayaquil website: www.bancoguayaquil.com

ANNEXES

Annex 1: Exclusion and Risk Sectors Lists

List of excluded activities

No financing will be granted for projects or companies involved in the production, trade or use of the products, substances or activities listed below:

1. Those that are illegal under the laws or regulations of the Recipient Country, or under international conventions and treaties ratified by the Recipient Country.
2. Weapons and ammunition.
3. Tobacco[17].
4. Gambling, casinos and equivalent companies[18].
5. Wild animals and plants or products derived therefrom regulated under the Convention on International Trade in Endangered Species of Wild Fauna and Flora (CITES)[19].
6. Radioactive materials[20].
7. Unbound asbestos fibers[21].
8. Forestry projects or operations that are not consistent with the Bank's Environmental and Safeguards Compliance Policy[22].
9. Polychlorinated Biphenyl Compounds (PCBs).
10. Pharmaceuticals subject to phase-out or international prohibition[23].
11. Pesticides and herbicides subject to phase-out or international prohibition[24].
12. Ozone-depleting substances subject to international phase-out[25].
13. Fishing in the marine environment with trawl nets longer than 2.5 km in length.

[17] It does not apply to sponsors that are not substantially involved in these activities. "Not substantially involved" means that the activity is complementary to the sponsor's principal operating activities.

[18] It does not apply to sponsors that are not substantially involved in these activities. "Not substantially involved" means that the activity is complementary to the sponsor's principal operating activities.

[19] www.cites.org

[20] It does not apply to the purchase of medical equipment, quality control equipment (measurement) or other equipment where it can be demonstrated that the radioactive source is insignificant and/or properly shielded.

[21] It does not apply to the purchase and use of asbestos-bonded fiber cement sheets in which the asbestos content is <20%.

[22] Document (GN-2208-20), the IDB Environment and Safeguards Compliance Policy dated August 19, 2006, approved by the IDB Board of Directors on that date.

[23] Pharmaceuticals under phase-out or ban at the United Nations, *Banned Products: Consolidated List of Products Whose Consumption and/or Sale Have Been Banned, Withdrawn, Severely Restricted or Not Approved by Governments* (latest version 2008). http://www.who.int/medicines/areas/quality_safety/safety_efficacy/who_emp_qsm2008.3.pdf

[24] Pesticides and herbicides subject to phase-out or ban included in the Rotterdam (www.pic.int) and Stockholm Conventions (www.pops.int).

[25] Ozone-depleting substances are chemical compounds that react with and deplete stratospheric ozone, resulting in the widely reported "ozone holes". The Montreal Protocol lists these substances and their scheduled reduction and phase-out dates. Chemicals regulated by the Montreal Protocol include aerosols, refrigerants, foam blowing agents, solvents and fire extinguishing agents (www.unep.org/ozone/montreal.shtml).

14. Transboundary movements of wastes and waste products[26], except non-toxic wastes for recycling.
15. Persistent Organic Pollutants (POPs)[27].
16. Non-compliance with fundamental principles of workers and labor rights[28].

Projects in high-risk sectors

Projects in high-risk sectors are defined as those that result or give the perception of resulting in high risks or impacts. These include, but are not limited to, the following:

1. Major infrastructure projects [29].
2. Extractive projects[30].
3. Large hydroelectric projects.
4. Projects with high greenhouse gas emission potential.
5. Projects involving resettlement.
6. Projects in areas of critical context (e.g., where there are human rights violations or environmental and social distress).
7. Projects with a high impact on critical inhabitants.
8. Projects in or near protected areas or areas with a cultural or biodiversity value.
9. Projects with high context risks (due to the external opera not the project itself - e.g., pre-existing conflict discrimination, changing political environment, widely spread diseases, countries with a long history of human rights violations, among others).

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[26] Defined by the Basel Convention (www.basel.int).

[27] Defined by the International Convention on the Reduction and Elimination of Persistent Organic Pollutants (September 1999) which currently includes the pesticides aldrin, chlordane, dieldrin, endrin, heptachlor, mirex and toxaphene, as well as the industrial chemical chlorobenzenes (www.pops.int).

[28] The Fundamental Principles and Rights at Work mean: (i) freedom of association and the effective recognition of the right to collective bargaining; (ii) the prohibition of all forms of forced or compulsory labor; (iii) the prohibition of child labor, including, without limitation, the prohibition of persons under the age of 18 from working in hazardous conditions (including construction activities), performing night work, being declared fit for work according to a medical examination; and (iv) the elimination of discrimination in respect of employment and occupation, in which discrimination is defined as any difference, exclusion or preference based on race, color, sex, religion, political opinion, or national or social origin. (International Labor Organization, www.ilo.org).

[29] For example: ocean ports, inner navigable routes, internal route ports that allow the passage of vessels over 1,350 tons; treatment plants for effluents; chemical treatment plants or hazardous or toxic waste discharge plants; construction of highways, expressways and long-distance lines; among others.

[30] For example: onshore and offshore oil and gas developments, as well as crude oil refineries (excluding the manufacture of lubricants -exclusively-) and the installation of gasification and liquefaction plants of 500 tons or more of coal or bituminous oil per day.

Annex 2: Impact Measurement Metrics

Table 2: Energy Efficiency Indicators

Indicator	Measurement unit	Description
Annual energy consumption reduction	KWh	= KWh consumed annually before the project implementation - KWh consumed annually after the project implementation.
Annual reduction in GHG emissions (avoided Greenhouse Gases emissions)	tCO_2eq	= Annual reduction in energy consumption * average emission factor of Ecuador's energy matrix [31].
Absolute reduction in GHG emissions from the project	tCO_2eq	= Absolute reduction in energy consumption * average emission factor of Ecuador's energy matrix.

Table 3: Renewable Energy Indicators

Indicator	Measurement unit	Description
Annual renewable energy generation	MWh/GWh (for electricity) GJ/TJ (other type of energy)	= MWh/GWh generated annually after project implementation.
Annual reduction in GHG emissions (avoided GHG emissions)	tCO_2eq	= Annual emissions reduction from the generation of energy from non-renewable sources, resulting from the amount of MWh/GWh * the average emission factor of Ecuador's energy matrix.
Capacity built or rehabilitated	MW	= Capacity of Renewable Energy plants constructed or rehabilitated

Table 4: Sustainable management of living natural resources Indicators

Indicator	Measurement unit	Description
Certified production area	Hectares	= hectares of productive area certified under the eligible parameters.
Annual reduction in energy consumption	KWh	= KWh reduced or avoided annually due to the implementation of the project
Annual reduction in GHG emissions	tCO_2eq	= Emissions avoided or reduced because of the project implementation

[31] The current CO_2 Emission Factor for Ecuador can be consulted in the CENACE library, at the Electricity Sector Information section: http://www.cenace.gob.ec/biblioteca/

Water consumption savings	m^3	= Water consumption in m^3 (per year) avoided or reduced due to the project implementation

Table 5: Green Buildings Indicators

Indicator	Measurement unit	Description
Number and area of buildings constructed with eligible seals	# Buildings m^2	= Number of buildings and/or dwellings or total square meters constructed or certified with eligible seals.
Savings in energy consumption in certified buildings	KWh	= Consumption in KW he certified building/KW to energy efficiency improvements compared to consumption of a similar non-certified building.
Savings in water consumption of certified buildings	m^3	= consumption in m^3 (annual) of the certified building/ m^3 (annual) compared to the consumption of a similar non-certified building.
GHG emissions reduced or avoided	tCO_2eq	= tons of CO_2 equivalent reduced or avoided because of the improvements made.

Table 6: Monitoring indicators

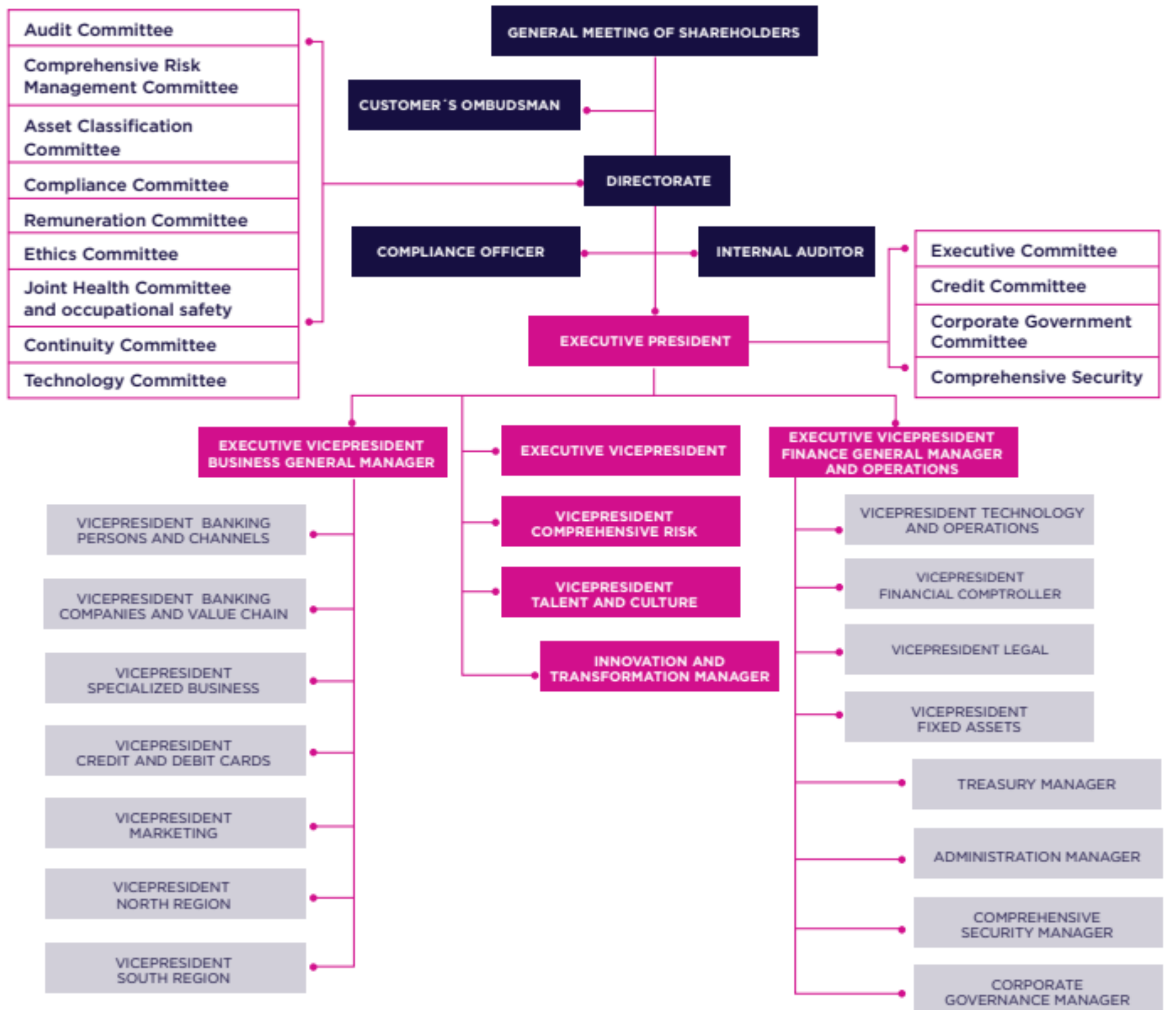
Indicator	Measurement unit	Description
Disbursement by category of eligible projects	USD	= amount disbursed (by project category)
Average amount of loans	USD	= amount disbursed/ Unit of measurement
Amount of proceeds not used yet	USD	= undisbursed amount
Refinancing portion	%	= amount disbursed for refinancing/ total amount disbursed
Cofinancing proportion	%	= amount of co-financing / total amount disbursed

Annex 3: Second Party Opinion

This Green Bond Framework has been evaluated by Moody's ESG Solutions based on the Green Bond Principles – June 2021 (GBP) and its own methodology based on international standards and guidelines applicable by sector in terms of ESG management and evaluation. The Second Party Opinion (SPO) is shown below.

Annex 4: Banco Guayaquil's Corporate Governance Structure

Figure 1: Organization Chart 2021



Annex 5: Eligible International Environmental Certifications

#	Label	Sector
1	Amaggi	Agriculture
2	Bonsucro-EU	Agriculture
3	Bunge ProS	Agriculture
4	Cefetra Soy	Agriculture
5	Fairtrade Hired labour	Agriculture
6	Fairtrade Small Producer	Agriculture
7	Florverde	Agriculture
8	IFOAM International Federation of Organic Agriculture Movements	Agriculture
9	ISCC International Sustainability and Carbon Certification EU	Agriculture
10	ISCC International Sustainability and Carbon Certification Plus	Agriculture
11	ProTerra	Agriculture
12	Roundtable on Responsible Soy	Agriculture
13	Roundtable on Sustainable Biomaterials	Agriculture
14	Roundtable on Sustainable Palm Oil Next	Agriculture
15	Starbucks Café Practices	Agriculture
16	Sustainable Agriculture Network - Rainforest Alliance System	Agriculture
17	Nespresso AAA	Agriculture
18	Forest Stewardship Council (FSC)	Forestry
19	Programme for the Endorsement of Forest Certification Forest Management PEFC FM	Forestry
20	Aquaculture Stewardship Council ASC Pangasius	Aquaculture
21	Aquaculture Stewardship Council ASC Salmon	Aquaculture
22	Aquaculture Stewardship Council ASC Shrimps	Aquaculture
23	Friend of the Sea FOS Wild	Aquaculture / Fisheries
24	Global Seafood Alliance/Best Aquaculture Practices	Aquaculture
25	GlobalGAP Aquaculture	Aquaculture
26	Marine Stewardship Council	Aquaculture / Fisheries
27	Naturland Organic Aquaculture	Aquaculture

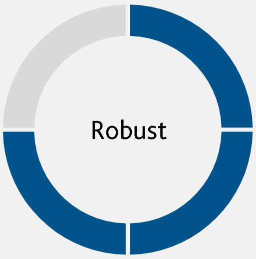
SECOND PARTY OPINION

on the sustainability of Banco Guayaquil S.A Green Bond Framework

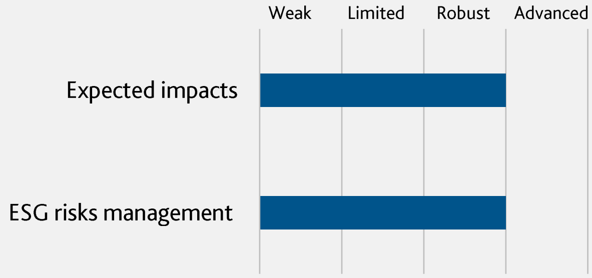
Moody's ESG Solutions considers that Banco Guayaquil S.A's Bond Framework is aligned with the four core components of the ICMA's Green Bond Principles 2021 ("GBP")and the Best Practices identified by Moody's ESG solution.

Framework

Contribution to Sustainability:



Advanced
Limited
Robust
Weak



SDG Mapping

Characteristics of the Framework

Green Project Categories	⇒ Energy efficiency ⇒ Renewable energy ⇒ Sustainable Management of living natural resources ⇒ Green Buildings
Project Locations	Ecuador
Existence of Framework	Yes
Share of Refinancing	To be communicated before each issuance
Look-back Period	18 months

Issuer

ESG Controversies

Number of Controversies	None
Frequency	N/A
Severity	N/A
Responsiveness	N/A

Controversial Activities

The Issuer appears to not be involved in any of the 17 controversial activities screened under our methodology:

☐ Alcohol
☐ Animal welfare
☐ Cannabis
☐ Chemicals of concern
☐ Civilian firearms
☐ Fossil fuels industry
☐ Coal
☐ Gambling
☐ Genetic engineering
☐ High interest rate lending
☐ Human embryonic stem cells
☐ Military
☐ Nuclear power
☐ Pornography
☐ Reproductive medicine
☐ Tobacco
☐ Unconventional oil and gas

Coherence

Coherent
Partially coherent
Not coherent

Moody's ESG Solutions considers that the contemplated Framework are coherent with Banco Guayaquil's strategic sustainability priorities and sector issues and that it contributes to achieving the Issuer's sustainability commitments.

Key findings

Moody's ESG Solutions considers that Banco Guayaquil's Framework is aligned with the four core components of the GBP.

Use of Proceeds – aligned with the GBP and with the Best Practices identified by Moody's ESG Solutions

- Eligible Categories are clearly defined and detailed. The Issuer has communicated the nature of the expenditures, eligibility criteria and location of Eligible Projects for all categories.
- The Environmental Objectives are clearly defined, relevant and set in coherence with sustainability objectives defined in international standards for all Eligible Categories.
- The Expected Environmental Benefits are clear, precise, relevant and measurable. They will be quantified for all Eligible Categories in the reporting.
- The Issuer has committed to transparently communicate to investors the estimated share of refinancing prior to each bond issuance.
- The look-back period for refinanced Eligible Categories will be equal to or less than 24 months from the issuance date, in line with good market practices.

Evaluation and Selection – aligned with the GBP and with the Best Practices identified by Moody's ESG Solutions

- The Process for Project Evaluation and Selection has been clearly defined and detailed by the Issuer. The process is well-structured in all the evaluation and selection steps (including the proposal, selection, validation and monitoring of Eligible Categories). The roles and responsibilities are clear and include relevant internal expertise. The process is publicly disclosed in the Framework.
- Eligibility criteria for project selection have been clearly defined by the Issuer for all Eligible Categories
- The process applied to identify and manage potentially material ESG risks associated with Eligible Projects is publicly disclosed in this Second Party Opinion. The process is considered robust: it combines monitoring, identification and corrective measures, for all Eligible Projects (see detailed analysis on pages 19 - 20).

Management of Proceeds - aligned with the GBP and with the Best Practices identified by Moody's ESG Solutions

- The Process for the Management and Allocation of Proceeds is clearly defined and detailed, and is publicly available in the Framework.
- The allocation period will be 24 months or less.
- The net proceeds of the Bond will be placed in the Bank's Treasury and tracked by the Issuer in an appropriate manner and attested to in a formal internal process. The Issuer has committed not to invest temporarily unallocated proceeds in GHG intensive activities or controversial activities.
- Information on the intended types of temporary placement for the balance of the unallocated net proceeds is publicly disclosed.
- For as long as the Bond is outstanding, the Issuer has committed to periodically adjust the balance of tracked net proceeds to match allocations to Eligible Categories.
- The Issuer has provided information on the procedure that will be applied in case of project/asset divestment or postponement and has committed to reallocate divested proceeds to projects that comply with the Framework within 24 months.

Reporting - aligned with the GBP and with the Best Practices identified by Moody's ESG Solutions

- The Issuer has committed to report on the Use of Proceeds on an annual basis, until full allocation and on a timely basis in case of material developments for the allocation reporting, and until Bond maturity for the impact reporting. The report will be publicly available on the Issuer's website.
- The Issuer has committed to include in the reports relevant information related to the allocation of Bond proceeds and the expected sustainable benefits of the Eligible Projects. The Issuer has also committed to report on material developments and controversies related to the Eligible Projects.
- The reporting methodology and assumptions used to report on environmental benefits of the Eligible Projects will be publicly disclosed.

- An external auditor will verify the tracking and allocation of funds to Eligible Projects until bond maturity. An external auditor will verify the reporting on the environmental benefits of Eligible Projects until bond maturity.

Contact

Sustainable Finance Team | clientservices@moodys.com

SCOPE

Moody's ESG Solutions was commissioned to provide an independent Second Party Opinion ("SPO") on the sustainability credentials and management of the Green Bonds[1] (the "Bonds") to be issued by Banco Guayaquil S.A (the "Issuer") in compliance with the Green Bond Framework (the "Framework") created to govern their issuance(s).

Our opinion is established according to Moody's ESG Solutions' Environmental, Social and Governance ("ESG") exclusive assessment methodology and to the latest version of the voluntary guidelines of ICMA's Green Bond Principles ("GBP") - edited in June 2021.

Our opinion is built on the review of the following components:

- Framework: we assessed the Framework, including the coherence between the Framework and the Issuer's environmental commitments, the Bonds' potential contribution to sustainability and its alignment with the four core components of the GBP 2021.
- Issuer[2]: we assessed the Issuer's management of potential stakeholder-related ESG controversies and its involvement in controversial activities[3].

Our sources of information are multichannel, combining data (i) gathered from public sources, press content providers and stakeholders, (ii) from our exclusive ESG rating database, and (iii) information provided from the Issuer through documents and interviews conducted with the Issuer's managers and stakeholders involved in the Bonds issuance.

We carried out our due diligence assessment from April 1st to May 18, 2022. We consider that we were provided access to all documents we solicited. For this purpose, we made reasonable efforts to verify the accuracy of all data used as part of the assessment.

Type of External Reviews supporting this Framework

☒	Pre-issuance Second Party Opinion	☒	Independent verification of impact reporting
☒	Independent verification of funds allocation	☐	Climate Bond Initiative Certification

[1] The "Green Bonds" are to be considered as the bond to be potentially issued, subject to the discretion of the Issuer. The name "Green Bonds" has been decided by the Issuer: it does not imply any opinion from Moody's ESG Solutions.
[2] The Issuer Is not part of our ESG performance rating universe.
[3] The 17 controversial activities screened by us are: Alcohol, Animal welfare, Cannabis, Chemicals of concern, Civilian firearms, Coal, Fossil Fuels industry, Unconventional oil and gas, Gambling, Genetic engineering, Human embryonic stem cells, High interest rate lending, Military, Nuclear Power, Pornography, Reproductive Medicine and Tobacco.

COHERENCE

Coherent
Partially coherent
Not coherent

We consider that the contemplated Green Bond Framework is coherent with Banco Guayaquil S.A's strategic sustainability priorities and sector issues and that it contributes to achieving the Issuer's sustainability commitments.

The finance sector has a leading role in driving economic growth integrating financial tools and mechanisms to achieve sustainable development, promoting values and actions on diverse aspects such as climate resilience, conservation of biodiversity, low-carbon economies, among others.

Through the portfolios of their customers, banks are exposed to a more diverse set of social and environmental issues than the average business and, to a certain extent, than other financial institutions. Accordingly, banks and other financial institutions are shifting their focus and reorienting their activities. They are increasingly moving from avoiding risks to creating opportunities, in Latin America this is particularly relevant because this market has been exposed to global financial sector trends longer periods than any other emerging market[4] .

There are platforms promoting and mobilizing the banking sector for sustainable development that had significantly increased the participation of the sector stakeholders, showing the importance and growing involvement. For instance, there is the United Nations Environment Programme Finance Initiative[5] (UNEP FI), Principles for Responsible Backing (PRB[6]).

Banco Guayaquil S.A is a globally operated bank based out of Ecuador that provides financial services to both individuals and companies, including sustainable finance products with an environmental and social focus. Banco Guayaquil S.A.'s physical footprint includes 208 Bank Branches and 9,259 local banks [Bancos del Barrio], a strategic alliance between large entrepreneurs of small businesses throughout Ecuador to offer banking services to Ecuadorians throughout the national territory[7]. The capitalization value of the Bank at the end of 2020 was US $ 428,256,000. 80.80% of the Bank's capital is owned by Corporación MultiBG SA, an Ecuadorian capital company, which is also listed on the Guayaquil and Quito Stock Exchanges.

Banco Guayaquil S.A. has acknowledged its role in the global transition to a low-carbon and more sustainable economy in the Bank's annually published Integrated Sustainability Report. This report details the Bank's new Sustainability Strategy launched in 2020, including the Bank's Responsible Banking sub-strategy, and its alignment with the Sustainable Development Goals (SDG). The resources will be focused on their Sustainability Strategy pillars:

- Governance and ethics
- Customer connection
- Financial culture and banking access
- Sustainable financing and investment
- Internal commitment

This new strategy further builds on the Bank's prior commitment to sustainability when they signed the Principles of Responsible Banking (PRB) in 2019, a framework for ensuring that signatory banks' strategy and practices align with the vision society has set out for its future in the SDGs and the Paris Climate Agreement.

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[4] https://firstforsustainability.org/media/IFC%20Banking%20on%20Sustainability.pdf
[5] United Nations Environment – Finance Initiative – Partnership between United Nations Environment and the global financial sector to promote sustainable finance (unepfi.org)
[6] United Nations Environment – Finance Initiative – Partnership between United Nations Environment and the global financial sector to promote sustainable finance (unepfi.org)
[7] https://www.bancoguayaquil.com/conocenos/sostenibilidad/

As part of its larger sustainability strategy, Banco Guayaquil S.A has developed a Green Bond Framework to demonstrate how the Bank intends to finance or refinance Eligible Green Assets in Ecuador. A key part of this framework is assets or projects must align with Bank's sustainability strategy and at least one of the five general environmental objectives of the Green Bond Principles: (i) climate change mitigation; (ii) adaptation to climate change; (iii) conservation of natural resources; (iv) biodiversity conservation; and (v) pollution prevention and control.

FRAMEWORK

The Banco Guayaquil S.A has described the main characteristics of the Bond within a formalized Green Bond Framework that covers the four core components of the GBP 2021 (the last updated version was provided to Moody's ESG Solutions on May 18 , 2022). The Issuer has committed to make this document publicly accessible on Banco Guayaquil's website, in line with good market practices.

Alignment with the Green Bond Principles

Use of Proceeds

Not Aligned	Partially Aligned	Aligned	**Best Practices**

The net proceeds of the Bonds will exclusively finance or refinance, in part or in full, projects falling under four Green Project Categories ("Eligible Categories"), as indicated in Table 1.

- Eligible Categories are clearly defined and detailed. The Issuer has communicated the nature of the expenditures, eligibility criteria and location of Eligible Projects for all categories.
- The Environmental Objectives are clearly defined, relevant and set in coherence with sustainability objectives defined in international standards for all Eligible Categories.
- The Expected Environmental Benefits are clear, precise, relevant and measurable. They will be quantified for all Eligible Categories in the reporting.
- The Issuer has committed to transparently communicate to investors the estimated share of refinancing prior to each bond issuance.
- The look-back period for refinanced Eligible Categories will be equal to or less than 24 months from the issuance date, in line with good market practices.

BEST PRACTICES

⇒ The definition and eligibility criteria (selection and exclusion) are clear and in line with international standards for all categories.
⇒ Relevant environmental benefits are identified and measurable for all project categories.
⇒ The Issuer has committed to transparently communicate to investor the estimated share of refinancing prior to each bond issuance.
⇒ The look-back period for refinanced Eligible Categories will be equal or less than 24 months form the issuance date, in line with good market practices.

Table 1. Our analysis of Eligible Categories, Sustainability Objectives and Expected Benefits as presented in the Issuer's Framework

- Nature of expenditures: Proceeds may be used for capital expenditures (CAPEX) as well as operating expenses (OPEX).
- Location of Eligible Projects: Ecuador

ELIGIBLE CATEGORIES	DESCRIPTION	SUSTAINABILITY OBJECTIVES AND BENEFITS	MOODY'S ESG SOLUTIONS' ANALYSIS
Energy efficiency	Industrial energy efficiency projects, such as process optimization, implementation of improvements and systems, replacement of equipment, etc., that reduce energy consumption in industrial production processes. Commercial and residential energy efficiency projects, such as the implementation of actions, systems, technologies, equipment, improvements, among others activities to improve or maintain an efficient energy use. Projects include: • Installation of electronic systems for the control and/or reduction of energy use in buildings. • Expenditures on upgrades to heating, ventilation, air conditioning, lighting (replacement to LED lights), motion detector systems, skylights, building envelopes (insulation, cool roofing, air sealing, etc.), etc. • Replacement, production or purchase of machinery/equipment with Energy Star seals[5], rating A, AA, A+ (Ecuador), Energy System or Inverter. Exclusion criteria: • Projects involving fossil fuels. • Projects whose improvements achieve an energy efficiency improvement of less than 20% (without increasing production capacity).	Energy efficiency Reduce energy consumption in industrial production processes Increase the efficiency of energy use in commercial and residential projects	The Eligible Category is clearly defined. The Issuer has communicated the nature of the expenditure, the eligibility criteria and location of the projects. The Environmental Objective is clearly defined and relevant for the Eligible Category. This is set in coherence with sustainability objectives defined in international standards. The expected Environmental Benefits are clear, relevant and measurable and will be quantified for the Eligible Category in the reporting.

ELIGIBLE CATEGORIES	DESCRIPTION	SUSTAINABILITY OBJECTIVES AND BENEFITS	MOODY'S ESG SOLUTIONS' ANALYSIS
Renewable energy	Projects for electric energy from renewable sources that displace the use of fossil fuels, through the acquisition, development, operation, and maintenance of new and ongoing renewable energy activities. Projects include: • Wind energy: wind turbines, wind farms, etc. • Photovoltaic Solar Energy: installation of photovoltaic systems, solar farms, etc. • Concentrated Solar Energy. • Hydroelectric power: hydroelectric power plants with a capacity of less than 10MW and compliant with mitigation requirements of CBI standard • Geothermal energy: development, construction, and operation of geothermal power generation facilities; geothermal projects with mitigation technologies that will make emissions of non-condensable gases to the atmosphere negligible; geothermal projects reviewed and registered under the Clean Development Mechanism. • Development, construction, installation, and maintenance of biomass facilities that avoid negative impacts on biodiversity, ecosystems, and High Conservation Value areas (that do not compete with food production, deplete existing terrestrial resources and carbon stocks or other areas of high biodiversity) and/or that use sustainable feedstock according to the EU Taxonomy. • Cogeneration energy, using 100% renewable energy. Exclusion criteria: • Fossil fuel power generation projects. • Nuclear energy projects.	<u>Climate change mitigation</u> Reduction of GHG emissions	The Eligible Category is clearly defined. The Issuer has communicated the nature of the expenditures, location of the projects. The Environmental Objective is clearly defined and relevant for the Eligible Category. This is set in coherence with sustainability objectives defined in international standards. The expected Environmental Benefits are clear, relevant, measurable and will be quantified for the Eligible Category in the reporting.

ELIGIBLE CATEGORIES	DESCRIPTION	SUSTAINABILITY OBJECTIVES AND BENEFITS	MOODY'S ESG SOLUTIONS' ANALYSIS
	• Geothermal energy and cogeneration projects with direct emissions above 100g CO_2/kWh. • Biomass projects not coming from agroforestry residues. • Hydroelectric projects with a capacity no greater than 10MW.		
Sustainable Management of living natural resources	Environmentally sustainable agriculture and forestry projects; climate-smart agricultural inputs, such as biological crop protection or drip irrigation; environmentally sustainable fisheries and aquaculture; sustainable forestry; and conservation or restoration of natural landscapes Projects include: • Afforestation or reforestation of degraded areas (with increased GHG sequestration) or sustainable management of planted forests. • Precision agriculture; purchase of machinery, technological change and more efficient and/or low-carbon agriculture projects; drip, micro-sprinkler, or more efficient irrigation systems; use of organic fertilizers. • Projects/producers with international environmental and social certifications included in the Framework.[8] Exclusion criteria: • Livestock projects.	<u>Climate change mitigation</u> Reduction of GHG emissions <u>Sustainable management of land resources</u> Increase the area of land and forests in conservation or sustainably managed <u>Sustainable management of marine resources</u> Increase share of protected or sustainable managed marine resources	The Eligible Category is clearly defined. The Issuer has communicated the nature of the expenditure, the eligibility criteria and location of the projects. The Environmental Objective is clearly defined and relevant for the Eligible Category. This is set in coherence with sustainability objectives defined in international standards. The expected Environmental Benefits are clear, relevant and measurable and will be quantified for the Eligible Category in the reporting.
Green buildings	A) Infrastructure, development and urban housing projects with design and construction measures certified through one of the LEED[9] (Gold or Platinum),	<u>Climate change mitigation</u> Reduction of GHG emissions	The Eligible Category is clearly defined. The Issuer has communicated the nature of the expenditures, eligibility criteria and locations of the projects. The Environmental Objective is clearly defined and relevant for the Eligible Category. This is set in coherence with sustainability objectives defined in international standards.

[8] See Banco Guayaquil's Green Bond Framework, Annex n°5.
[9] LEED, a green building rating system: http://www.usgbc.org/certification

ELIGIBLE CATEGORIES	DESCRIPTION	SUSTAINABILITY OBJECTIVES AND BENEFITS	MOODY'S ESG SOLUTIONS' ANALYSIS
	BREEAM[10] (Very Good) or EDGE seals, or a measure that directly contributes to obtaining these certifications. B) Major renovations and/or improvements that lead to a reduction in fossil fuel energy use, emissions, water use and waste by at least 30%. Where no certification standard is available, the impacts of the actions taken requires to be documented with reports from a third party to demonstrate how construction activities have implanted actions to avoid the construction on protected areas, improve access to public transport, and the negative impacts were identified and avoided to improve the use of resources. Buildings included in this category must achieve a minimum level of efficiency as indicated in subsection B or obtaining any of the certifications mentioned in subsection A.		The expected Environmental Benefit is clear, relevant and measurable and will be quantified for the Eligible Category in the reporting.

[10] BREEAM, a recognized sustainability assessment method for master planning, infrastructure and building projects: http://www.breeam.org/

SDG Contribution

The Eligible Categories are likely to contribute to 7 of the United Nations' Sustainable Development Goals ("SDGs"), namely:

ELIGIBLE CATEGORY	SDG	SDG TARGETS
Renewable energy Energy efficiency	7 Affordable and Clean Energy	7.2 increase substantially the share of renewable energy in the global energy mix 7.3 double the global rate of improvement in energy efficiency
Energy efficiency	9 Industry, Innovation and Infrastructure	9.4 upgrade infrastructure and retrofit industries to make them sustainable, with increased resource-use efficiency and greater adoption of clean and environmentally sound technologies and industrial processes, with all countries taking action in accordance with their respective capabilities
Green buildings	11 Sustainable Cities and Communities	11.C Support least developed countries, including through financial and technical assistance, in building sustainable and resilient buildings utilizing local materials
Sustainable management of living natural resources	12 Responsible Production and Consumption	12.2 achieve the sustainable management and efficient natural resources
Renewable Energy Energy efficiency Green buildings Sustainable management of living natural resources	13 Climate Action	SDG 13 is about fighting UN SDG 13 consists in taking action to combat climate change and its impacts
Sustainable management of living natural resources	14 Life Below Water	14.4 Effectively regulate harvesting and end overfishing, illegal, unreported and unregulated fishing and destructive fishing practices and implement science-based management plans, in order to restore fish stocks in the shortest time feasible, at least to levels that can produce maximum sustainable yield as determined by their biological characteristics
Sustainable management of living natural resources	15 Life on Land	15.2 Promote the implementation of sustainable management of all types of forests, halt deforestation, restore degraded forests and substantially increase afforestation and reforestation globally

Evaluation and Selection of Eligible Projects

Not Aligned	Partially Aligned	Aligned	Best Practices

- The Process for Project Evaluation and Selection has been clearly defined and detailed by the Issuer. The process is well-structured in all the evaluation and selection steps (including the proposal, selection, validation and monitoring of Eligible Categories). The roles and responsibilities are clear and include relevant internal expertise. The process is publicly disclosed in the Framework.
- Eligibility criteria for project selection have been clearly defined by the Issuer for all Eligible Categories
- The process applied to identify and manage potentially material ESG risks associated with Eligible Projects is publicly disclosed in this Second Party Opinion. The process is considered robust: it combines monitoring, identification and corrective measures, for all Eligible Projects (see detailed analysis on pages 19 - 20).

Process for Project Evaluation and Selection

Only assets approved in the regular credit process are eligible for green financing; qualification for green criteria does not cancel credit risks. The credit approval process is overseen by a Sustainable Finance Working Group which is composed of

- Risk management
- Corporate Governance and Sustainability
- Head of relevant business units contributing to the Eligible Projects.
- Treasury
- Corporate Banking departments

- The Sustainable Financing Working Group is responsible for:
    - Ensuring that the portfolio of Eligible Assets is aligned with the eligibility categories and criteria
    - Monitoring the Registry of Green Assets and notifying the Credit Committee when it is necessary to replace investments that no longer meet the eligibility criteria
    - Identifying and managing potential ESG controversies;
    - Reviewing and updating the content of the Green Finance Framework
    - Documenting and maintaining a record of decisions to facilitate external verification

Banco Guayaquil 's process for credit approval is organized into five phases:

<u>Knowledge and evaluation of the client</u>: The commercial officer of the account, is responsible for searching or identifying existing operations in the portfolio, as well as new projects that can go through the screening and evaluation process and initiate the requirement.

- For new clients, these must first go through the regular evaluation process to be prospected. Once the information is completed, it is forwarded to the Risk department for evaluation, which involves the application of an Internal Rating methodology, complemented by the opinion of a Credit Analyst and, in cases with risk above $250,000, the categorization by Environmental Risk and, if applicable, the management of the due diligence requiring pertinent information for it.
- For clients already in the portfolio these have already gone through the previous process of prospecting and information gathering, so they can go directly to the evaluation stage.

Evaluation: The commercial officer shares the requirement to the Integrated Risk department to perform a sustainability risk assessment. With this information, the proposed assets are assessed for compliance with the eligibility criteria set in the Framework.

Approval of the loan: A recommendation proposal is sent to be presented to the Credit Committee, where it is ratified that the project is an Eligible Green Asset, and the final approval decision is made.

Eligible Green Assets Register: upon approval, Eligible Green Assets will be entered into the Green Assets Register, with a special product code for the purpose so that it is identified with the other bank products. The registration will be monitored during the life of the bond.

Verification of the Registry of Green Assets: the Sustainable Finance Working Group of Banco Guayaquil will share this documentation with the bank's general auditor for verification, so that the new projects added to the list are validated. Registry of Green Assets meet the eligibility criteria, as well as validating that the projects that are already in the Registry of Green Assets continue to meet the eligibility criteria.

The traceability and verification of the selection and evaluation of the projects is ensured throughout the process:

- Within the standard approval process for Credit facilities, the Bank has a technological platform "Business Rating" where the conditions and terms of the credit facilities approved by the respective credit committee level are supported.

The Issuer informs that for the monitoring process of the projects, they employee an environmental engineer who verifies compliance with the Eligibility Criteria, either by requesting documentation or through on-site evaluations. During this evaluation process, if the engineer identifies any controversy, the client is asked to implement improvement plans, which are then monitored on a semi-annual, annual or biannual basis depending on the client's risk category and the specific identified case.

The traceability and verification of the selection and evaluation of the projects is guaranteed throughout the process:

- Within the standard approval process for credit prospects, the Bank has a "Business Rating" software platform where the conditions and terms of the credit prospects approved by the respective level of credit committee are supported.

Eligibility Criteria

The process relies on explicit eligibility criteria (selection and exclusion), relevant to the environmental objectives defined for the Eligible Categories. However, some Eligible Categories and exclusion criteria could be further specified.

- The selection criteria is based on the definitions in the Eligible Categories defined Table 1 in the Use of Proceeds section.
- The exclusion criteria is clearly defined and established in the Framework for nearly all the categories.
- Additionally, the Issuer has provided an exclusion list for specific activities and another list for Projects in high risks sectors in the annexes of the Framework.

BEST PRACTICES

⇒ Eligibility and exclusion criteria for Project selection are clearly defined and detailed for all of the Eligible Categories.
⇒ The Issuer reports that it will monitor compliance of selected and financed projects with eligibility criteria specified in the Framework throughout the life of the instrument and ha provide details on the procedure adopted in case of non-compliance.
⇒ The Issuer reports that it will monitor potential ESG controversies associated with the financed projects throughout the life of the instrument and has provided details on the procedure in case a controversy is fund.

Management of Proceeds

Not Aligned	Partially Aligned	Aligned	Best Practices

- The Process for the Management and Allocation of Proceeds is clearly defined and detailed, and is publicly available in the Framework.
- The allocation period will be 24 months or less.
- The net proceeds of the Bond will be placed in the Bank's Treasury and tracked by the Issuer in an appropriate manner and attested to in a formal internal process. The Issuer has committed not to invest temporarily unallocated proceeds in GHG intensive activities or controversial activities.
- Information on the intended types of temporary placement for the balance of the unallocated net proceeds is publicly disclosed.
- For as long as the Bond is outstanding, the Issuer has committed to periodically adjust the balance of tracked net proceeds to match allocations to Eligible Categories.
- The Issuer has provided information on the procedure that will be applied in case of project/asset divestment or postponement and has committed to reallocate divested proceeds to projects that comply with the Framework within 24 months.

Management Process

- For the Management of Proceeds, Banco Guayaquil has established a Green Assets Register, monitored by the Bank's Treasury department on a quarterly basis.
- The net proceeds of the Bonds will be credited to the Issuer's treasury liquidity portfolio and will be managed in cash or other highly liquid low risk instruments.
- The unallocated funds would be held within Banco Guayaquil's treasury in accordance with its usual treasury investment strategy. The Issuer has also established in the Framework that unallocated funds will follow the exclusion list and will be managed under responsible investment guidelines.
- In case of projects postponement, cancelation, divestment or ineligibility, or in case an Eligible Project has matured, the Issuer has committed to replace the no longer Eligible Project by a new Eligible Project within 12 months.

BEST PRACTICES

⇒ The allocation period will be 24 months or less.
⇒ The Issuer has committed not to invest temporarily unallocated proceeds in GHG intensive activities or controversial activities.
⇒ The Issuer has provided information on the procedure that will be applied in case of project divestment or postponement and has committed to reallocate divested proceeds to projects that comply with the Framework within 24 months.

Reporting

Not Aligned	Partially Aligned	Aligned	**Best Practices**

- The Issuer has committed to report on the Use of Proceeds on an annual basis, until full allocation and on a timely basis in case of material developments for the allocation reporting, and until Bond maturity for the impact reporting. The report will be publicly available on the Issuer's website.
- The Issuer has committed to include in the reports relevant information related to the allocation of Bond proceeds and the expected sustainable benefits of the Eligible Projects. The Issuer has also committed to report on material developments and controversies related to the Eligible Projects.
- The reporting methodology and assumptions used to report on environmental benefits of the Eligible Projects will be publicly disclosed.
- An external auditor will verify the tracking and allocation of funds to Eligible Projects until bond maturity. An external auditor will verify the reporting on the environmental benefits of Eligible Projects until bond maturity.

Indicators

The Issuer has committed to transparently communicate at Eligible Category level, on:

- Allocation of proceeds: The indicators selected by the Issuer to report on the allocation of proceeds cover all relevant information

REPORTING INDICATORS
⇒ The list of Eligible Projects (re)financed, including a brief description ⇒ The aggregated amount of (re)allocated net proceeds to Eligible Projects ⇒ The proportion of financing vs refinancing (%) ⇒ The balance of the unallocated proceeds and the projects they will be allocated to ⇒ The share of co-financing in case there is any.

- Environmental benefits: The indicators selected by the Issuer to report on the environmental benefits are relevant.

ELIGIBLE CATEGORIES	ENVIRONMENTAL BENEFITS INDICATORS	
	OUTPUTS AND OUTCOMES	IMPACT INDICATORS
Energy Efficiency		• Annual reduction in GHG emissions (avoided Greenhouse Gases emissions) • Absolute reduction in GHG emissions from the project • Annual energy consumption reduction
Renewable Energy	• Annual renewable energy generation • Capacity built or rehabilitated	• Annual reduction in GHG emissions (avoided GHG emissions) • Annual reduction in energy consumption

Sustainable management of living natural resources		• Certified production area • Annual reduction in GHG emissions • Water consumption savings
Green Buildings	• Number and area of buildings constructed with eligible seals	• GHG emissions reduced or avoided • Savings in energy consumption in certified buildings • Savings in water consumption of certified buildings

The Issuer has committed to include the methodology and assumptions to report on environmental benefits of the Eligible Projects in its public annual reporting.

In addition, the Issuer has committed to include in its reporting any potential ESG controversies associated with the Eligible Projects.

BEST PRACTICES

⇒ The Issuer will report until bond maturity.
⇒ The Issuer report will be publicly available.
⇒ The Reporting will cover relevant information related to the allocation of the bond proceeds and to the expected sustainable benefits of the Projects. The Issuer has also committed to report on material developments related to the projects, including ESG controversies.
⇒ The Indicators selected by the Issuer are exhaustive regarding allocating reporting.
⇒ The Indicators selected by the Issuer are clear and relevant and cover all expected benefits associated with the Eligible Categories.
⇒ The reporting methodology and assumptions used to report on environmental benefits of the Eligible Projects will be disclosed publicly.
⇒ Environmental benefits and impacts will be externally verified, until bond maturity.

CONTRIBUTION TO SUSTAINABILITY

Expected Impacts

The potential positive Impact of the eligible projects on environmental and social objectives is considered to be robust.

ELIGIBLE CATEGORY	EXPECTED IMPACT	ANALYSIS
Energy efficiency	ROBUST	Projects in this category can contribute to climate change mitigation through energy savings and reduction of GHG emissions. The projects to be financed has set an overall threshold of achieving a minimum 20% efficiency. The projects should will benefit the primary users of these technologies.
Renewable energy	ROBUST	Projects to be financed under this category will contribute to climate change mitigation through the overall increase of renewable energy and reduction of GHG emissions, providing an environmental benefit to both local and global stakeholders. The Issuer has provided clear definitions for all types of technology following mitigation criteria from recognised international standards.
Sustainable Management of living natural resources	ROBUST	The projects in this category can contribute to increase resource efficiency and protection of biodiversity and the protection of land ecosystems through a set of good practices to be implemented in the agriculture, aquiculture and fishery industries. The category includes recognized certifications for sustainable management on these industries.
Green budilings	ROBUST	Projects in this category will contribute to climate change mitigation through energy savings and overall reduction of GHG emissions. The projects will benefit all relevant stakeholders and have a long-term positive impact. The category includes buildings and renovations with the highest levels of certification available, and for non-certified projects the Issuer has set an overall target of 30% efficiency in use of resources.

OVERALL ASSESSMENT	ROBUST

ESG Risks Identification and Management Systems in Place at Project Level

The identification and management of the environmental, social, and governance risks associated with the Eligible Projects are considered robust[11].

	ELIGIBLE CATEGORIES			
	ENERGY EFFICIENCY	RENEWABLE ENERGY	SUSTAINABLE MANAGEMENT OF LIVING NATURAL RESOURCES	GREEN BUILDINGS
Environmental Risks	X			
Social Risks	X			
Governance Risks	X			
OVERALL ASSESSMENT	Robust			

ESG Due Diligence Process

Banco Guayaquil has implemented an Environmental and Social Risk Management System (ESRMS) to manage ESG risks.. The Issuer has confirmed that the ESRMS shall be applied to all projects financed under this Framework. In addition to the ESRMS, credit agreements or equivalent documents must include clauses, recommendations, action plans and/or commitments related to the ongoing due diligence required to manage environmental and social risk. The ESRMS includes details such as general and operational policies, an exclusion list, sector guides, a clearly defined organizational structure with specific roles and responsibilities, a continuous improvement process, and a disclosure policy.

Environmental Risks

Environmental due diligence includes the review, evaluation, and ongoing monitoring of the client's project(s) in accordance to their agreement with the Bank. For new projects, the Environmental and Social Impact studies are evaluated before final approval is given. For ongoing projects, monitoring and control documents such as Environmental Audits and Environmental Management Reports from onsite visits to client facilities are evaluated to ensure the client remains in compliance. Additional detail to assess environmental impact can be requested from the client on an ongoing basis. This may include details such as independent laboratory reports where the quality of atmospheric emissions, quality of effluents, noise level, or particulate matter is monitored, depending on the characteristics of the activity or project. In cases of non-compliance, the client is required to execute the corresponding corrective actions based on their predetermined agreement with the bank.

Regardless of whether the portfolio is associated with the Green Bond, all of the Bank's portfolio whose amount exceeds $250,000 is reviewed on a predefined basis (e.g. semi-annually or annually) to determine which projects will be submitted for the monitoring of the recommendations, clauses or action plans generated.

Social Risks

Health and Safety
In accordance with national legislation, environmental audits include occupational health and safety components, which carry the respective supporting documentation. In relevant cases, they are complemented by on-site visits to the projects. Regarding new projects, it is verified that compliance with national regulations related to citizen participation and consultation processes is verified.

[11] The "X" indicates the E&S risks that have been activated for each Eligible Category.

Human and labor rights

Banco Guayaquil has a Human Rights policy[12] which is applicable to all its employees, suppliers and its corporate customers who receive financing. The Corporate Governance and Sustainability Office is in charge of conducting the due diligence and ensure the compliance of this policy. The policy includes specific commitment of the Issuer towards its suppliers, customers and communities, as well as the application of international and national regulation covering human and labor rights.

The implementation of this policy follows a due diligence process of six steps: integration of human rights issues in the Bank's internal policies and processes, identification and evaluation of negative impacts of their operations, prevention and mitigation of negative impacts, follow-up and monitoring of prevention or mitigation measures, collaboration and reparations towards affected stakeholders and reporting mechanisms.

Ethics risks

In addition to the ESRMS ongoing governance procedures, all of the Bank's clients go through an initial assessment on the basis of the Prevention of Money Laundering. Additionally, public legal databases are consulted to ensure there are no ongoing lawsuits involving the client. Regarding conflict of interest, the bank has an automatic control that validates that the client does not appear in the database of people linked to the Bank. In Ecuador, it is prohibited by law for banks to grant loans to people linked to an entity. On an annual basis the credit evaluation and qualification process, as well as the application of ESRMS in the portfolio, is reviewed annually by the Bank's Internal Audit department.

All executives are trained annually in anti-corruption and prevention of money laundering issues. In addition, the commercial area receives specific training to identify these issues on their customers. Banco Guayaquil's compliance officers are periodically audited.

[12] Microsoft Word - Política_de_DDHH_Banco_Guayaquil_vV_TT_Embajador_Ayala_(2).DOCX (ctfassets.net)

ISSUER

Management of ESG Controversies

As of April 2022, the review conducted by Moody's ESG Solutions did not reveal any ESG controversy against Banco Guayaquil over the last four years.

Involvement in Controversial Activities

The Issuer appears to not be involved in any of the 17 controversial activities screened under our methodology, namely: Alcohol, Animal welfare, Cannabis, Chemicals of concern, Civilian firearms, Coal, Fossil Fuels industry, Unconventional oil and gas, Gambling, Genetic engineering, Human embryonic stem cells, High interest rate lending, Military, Nuclear Power, Pornography, Reproductive Medicine and Tobacco.

The controversial activities research provides screening of companies to identify involvement in business activities that are subject to philosophical or moral beliefs. The information does not suggest any approval or disapproval on their content from Moody's ESG Solutions.

METHODOLOGY

In our view, Environmental, Social and Governance (ESG) factors are intertwined and complementary. As such they cannot be separated in the assessment of ESG management in any organisation, activity or transaction. In this sense, we provide an opinion on the Issuer's ESG performance as an organisation, and on the processes and commitments applicable to the intended issuance.

Our Second Party Opinions (SPOs) are subject to internal quality control at three levels (Analyst, Project Manager and Quality Reviewer). If necessary, this process is complemented by a final review and validation by the Expertise Committee and Supervisor. A right of complaint and recourse is guaranteed to all companies under our review.

COHERENCE

Scale of assessment: not coherent, partially coherent, coherent

This section analyses whether the activity to be financed through the selected instrument is coherent with the Issuer's sustainability priorities and strategy, and whether it responds to the main sustainability issues of the sector where the Issuer operates.

ISSUANCE

Alignment with the Green and/or Social Bond Principles

Scale of assessment: Not aligned, Partially aligned, Aligned, Best Practices

The Framework has been evaluated by Moody's ESG Solutions according to the ICMA's Green Bond Principles - June 2021("GBP"), and on our methodology based on international standards and sector guidelines applicable in terms of ESG management and assessment.

Use of proceeds

The definition of the Eligible Projects and their sustainable objectives and benefits are a core element of Green/Social/Sustainable Bonds and Loans standards. Moody's ESG Solutions evaluates the clarity of the definition of the Eligible Categories, as well as the definition and the relevance of the primary sustainability objectives. We evaluate the descriptions of the expected benefits in terms of relevance, measurability and quantification. In addition, we map the potential contribution of Eligible Projects to the United Nations Sustainable Development Goals' targets.

Process for evaluation and selection

The evaluation and selection process is assessed by Moody's ESG Solutions on its transparency, governance and relevance. The eligibility criteria are assessed on their clarity, relevance and coverage vs. the intended objectives of the Eligible Projects.

Management of proceeds

The process and rules for the management and the allocation of proceeds are assessed by Moody's ESG Solutions on their transparency, traceability and verification.

Reporting

The monitoring and reporting process and commitments defined by the Issuer are assessed by Moody's ESG Solutions on their transparency, exhaustiveness and relevance, covering the reporting of both proceeds' allocation and sustainable benefits (output, impact indicators).

Contribution to sustainability

Scale of assessment: Weak, Limited, Robust, Advanced

Our assessment of activities' contribution to sustainability encompasses both the evaluation of their expected positive impacts on environmental/social objectives, as well the management of the associated potential negative impacts and externalities.

Expected positive impact of the activities on environmental/social objectives

The expected positive impact of activities on environmental/social objectives to be financed by the Issuer or Borrower is assessed on the basis of:

i) the relevance of the activity to respond to an important environmental/social objective for the sector of the activity;[13]

ii) the scope of the impact: the extent to which the expected impacts are reaching relevant stakeholders (i.e. the Issuer, its value chain, local and global stakeholders);

iii) the magnitude and durability of the potential impact of the proposed activity on the environmental/social objectives (capacity to not just reduce, but to prevent/avoid negative impact; or to provide a structural/long-term improvement);

iv) for environmental objectives only: the extent to which the activity is adopting the best available option.

ESG risk management for eligible activities

The identification and management of the potential ESG risks associated with the eligible projects/activities are analysed on the basis of Moody's ESG Solutions' ESG assessment methodology, international standards and sector guidelines applicable in terms of ESG management and assessment.

ISSUER

Management of Stakeholder Related ESG Controversies

Moody's ESG Solutions defines a controversy as public information or contradictory opinions from reliable sources that incriminate or make allegations against an Issuer regarding how it handles ESG issues as defined in Moody's ESG Solutions' ESG framework. Each controversy may relate to several facts or events, to their conflicting interpretations, legal procedures or non-proven claims.

We reviewed information provided by the Issuer, press content providers and stakeholders (partnership with Factiva Dow Jones: access to the content of 28,500 publications worldwide from reference financial newspapers to sector-focused magazines, local publications or Non Government Organizations). Information gathered from these sources is considered as long as it is public, documented and traceable.

We provide an opinion on companies' controversies risks mitigation based on the analysis of 3 factors:

- Frequency: reflects for each ESG challenge the number of controversies that the Issuer has faced. At corporate level, this factor reflects on the overall number of controversies that the Issuer has faced and the scope of ESG issues impacted (scale: Isolated, Occasional, Frequent, Persistent).
- Severity: the more a controversy is related to stakeholders' fundamental interests, proves actual corporate responsibility in its occurrence, and have caused adverse impacts for stakeholders and the company, the higher its severity is. Severity assigned at the corporate level will reflect the highest severity of all cases faced by the company (scale: Minor, Significant, High, Critical).
- Responsiveness: ability demonstrated by an Issuer to dialogue with its stakeholders in a risk management perspective and based on explanatory, preventative, remediating or corrective measures. At corporate level, this factor will reflect the overall responsiveness of the company for all cases faced (scale: Proactive, Remediate, Reactive, Non- Communicative).

The impact of a controversy on a company's reputation reduces with time, depending on the severity of the event and the company's responsiveness to this event. Conventionally, our controversy database covers any controversy with Minor or Significant severity during 24 months after the last event registered and during 48 months for High and Critical controversies.

Involvement in Controversial Activities

17 controversial activities have been analysed following 30 parameters to screen the company's involvement in any of them. The company's level of involvement (Major, Minor, No) in a controversial activity is based on:

- An estimation of the revenues derived from controversial products or services.
- The specific nature of the controversial products or services provided by the company.

[13] The importance of a specific social need at country level is assessed on the basis of the country performance on the priority SDG that the project is targeting using data from Sachs, J., Schmidt-Traub, G., Kroll, C., Lafortune, G., Fuller, G., Woelm, F. 2020. The Sustainable Development Goals and COVID-19. Sustainable Development Report 2020. Cambridge: Cambridge University Press.

OUR ASSESSMENT SCALES

Scale of assessment of Issuer's ESG performance or strategy and financial instrument's Contribution to sustainability	
Advanced	Advanced commitment; strong evidence of command over the issues dedicated to achieving the sustainability objective. An advanced expected impact combined with an advanced to robust level of ESG risk management & using innovative methods to anticipate new risks.
Robust	Convincing commitment; significant and consistent evidence of command over the issues. A robust expected impact combined with an advance to robust level of assurance of ESG risk management or an advanced expected impact combined with a limited level of assurance of ESG risk management.
Limited	Commitment to the objective of sustainability has been initiated or partially achieved; fragmentary evidence of command over the issues. A limited expected impact combined with an advanced to limited level of assurance of ESG risk management; or a robust expected impact combined with a limited to weak level of assurance of ESG risk management; or an advance expected impact combined with a weak level of assurance of ESG risk management.
Weak	Commitment to social/environmental responsibility is non-tangible; no evidence of command over the issues. A weak expected impact combined with an advanced to weak level of assurance of ESG risk management or a limited expected impact with a weak level of assurance of ESG risk management.

Scale of assessment of financial instrument's alignment with Green and/or Social Bond and Loan Principles	
Best Practices	The Instrument's practices go beyond the core practices of the ICMA's Green and/or Social Bond Principles and/or of the LMA/APLMA/LSTA's Green and/or Social Loan Principles by adopting recommended and best practices.
Aligned	The Instrument has adopted all the core practices of the ICMA's Green and/or Social Bond Principles and/or of the LMA/APLMA/LSTA's Green and/or Social Loan Principles.
Partially Aligned	The Instrument has adopted a majority of the core practices of the ICMA's Green and/or Social Bond Principles and/or of the LMA/APLMA/LSTA's Green and/or Social Loan Principles, but not all of them.
Not Aligned	The Instrument has adopted only a minority of the core practices of the ICMA's Green and/or Social Bond Principles and/or of the LMA/APLMA/LSTA's Green and/or Social Loan Principles.

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